



SMM CONCEPTS Part 4



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SMM Concept Part 4

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Technical Indicator

Introduction:

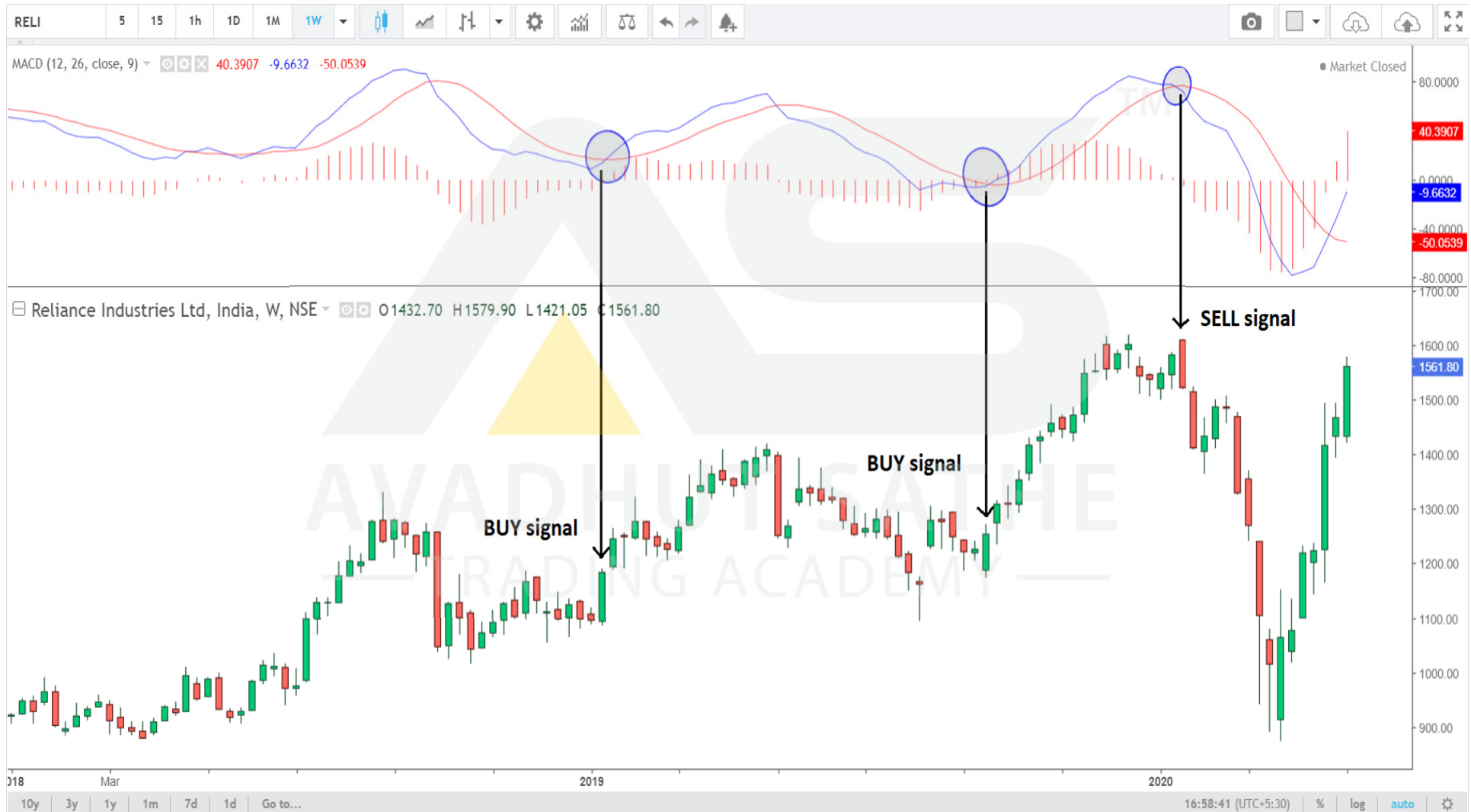
- Technical indicators are tools made out of calculation of historical price, volume, etc. and used to speculate the future price movement.
- They are plotted along with charts and mostly used as a supporting tool for analysis.
- Below mentioned are few indicators that we will be using for our analysis:
 1. **Moving Average Convergence Divergence (MACD)**
 2. **Stochastic**
 3. **Relative Strength Index (RSI)**

MACD

- Moving Average Convergence Divergence (MACD) is a trading indicator used in technical analysis. It is also called a “Trend” indicator.
- MACD indicator has 3 components in it:
 - i. **MACD Line** - MACD line is the “Blue” line in the MACD indicator. It is a calculation result of subtracting 26-period EMA from 12-period EMA.
 - ii. **Signal Line** – Signal line is the “Red” line which is plotted on top of the MACD line. It is basically 9-period EMA of the MACD line. When MACD line crosses the Signal line in upward direction it triggers a BUY signal and MACD line crossing the Signal line in downward direction triggers a SELL signal.
 - iii. **Histogram** – Histogram are vertical lines/bars which shows the distance between MACD line and Signal line.

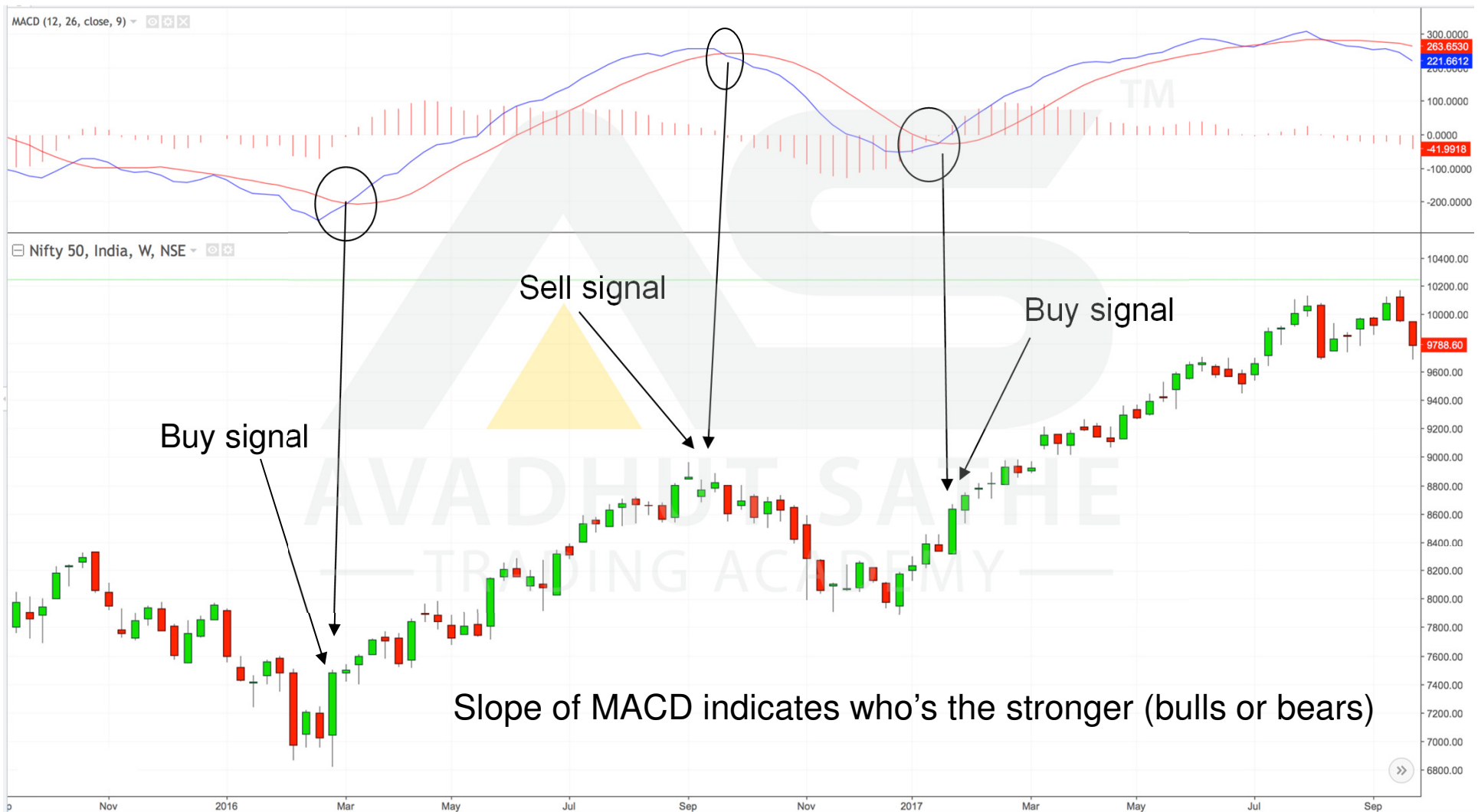
MACD Example

Reliance Industries – Weekly chart with MACD



MACD Example

Nifty 50 – Weekly chart with MACD



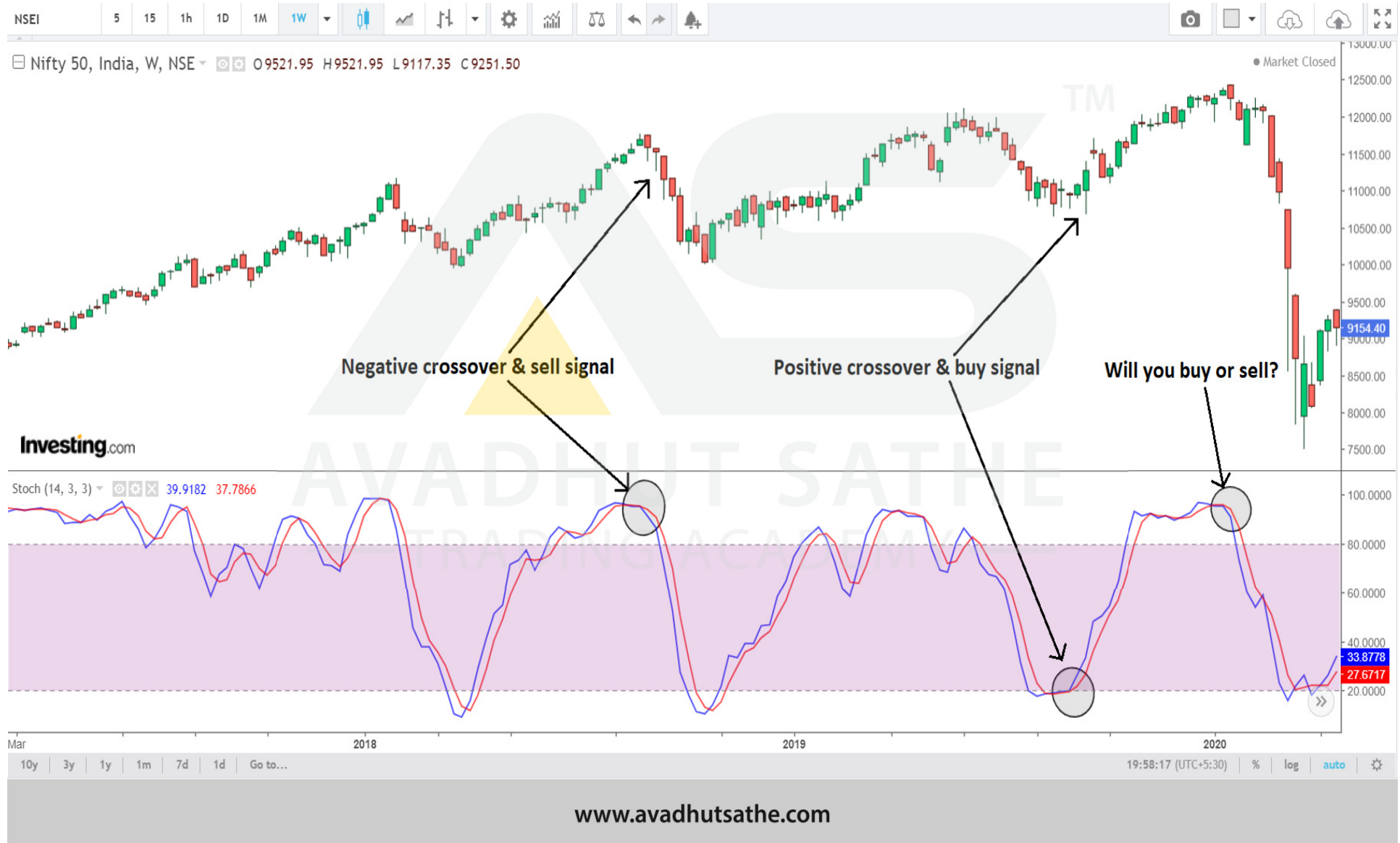
Oscillators

- Oscillators help find turning points i.e. they identify emotional extremes of market crowds i.e. **“Overbought”** OR **“Oversold”** conditions.
- They work extremely well in **Trading Ranges** (Sideways Trend):
 - Buy on Positive Crossover (ready to turn from oversold)
 - Sell on Negative Crossover (ready to turn from overbought)
- There are 2 types of Oscillators:
 - i. Stochastic
 - ii. Relative Strength Index (RSI)

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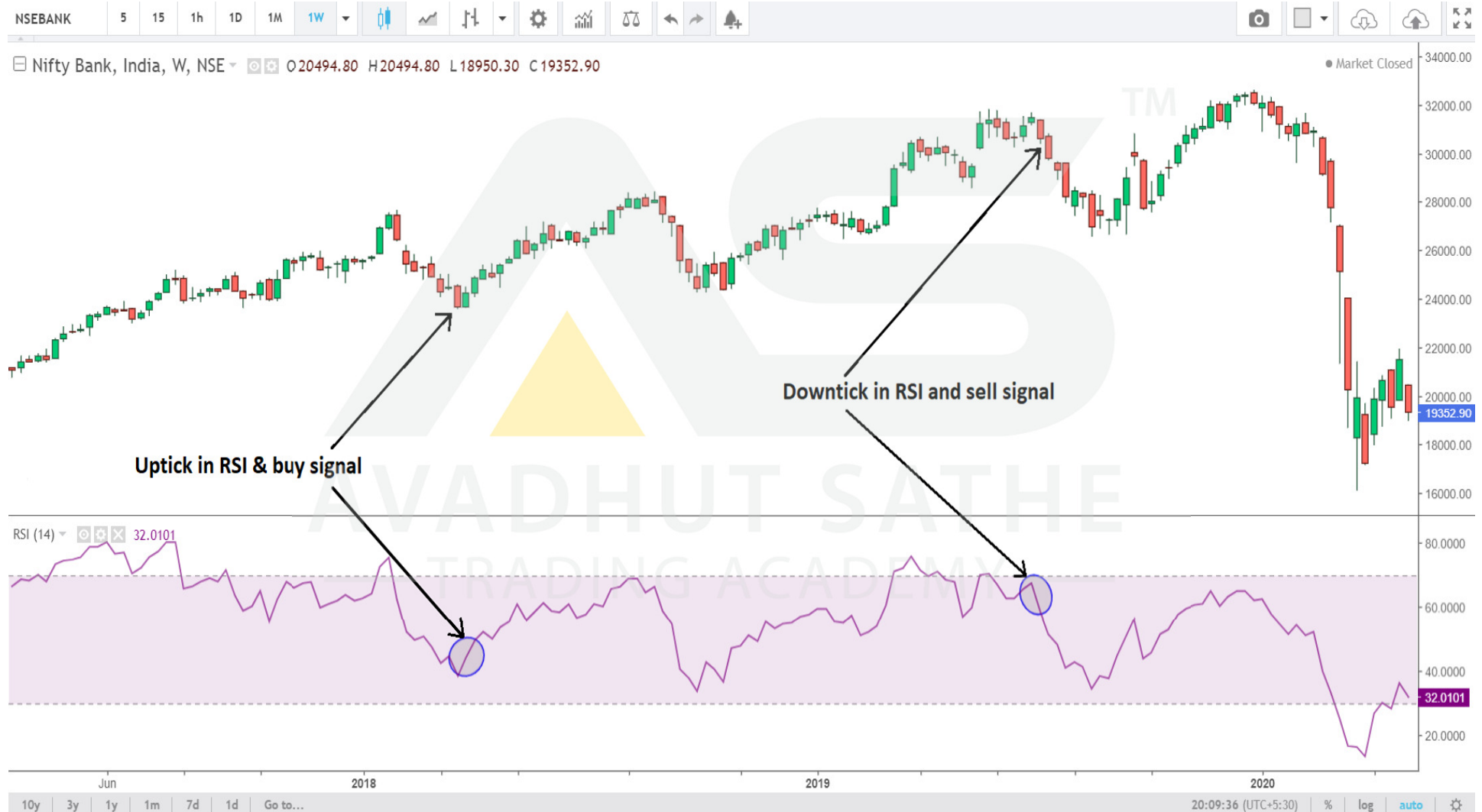
Stochastic Crossovers

Nifty Weekly Chart with Stochastic



Relative Strength Index (RSI)

Bank Nifty Weekly Chart with RSI



Divergence

- To “Diverge” means to drift apart OR go on a different route. Generally, price and oscillators go hand-in-hand however, there are times when they diverge from each other.
- Oscillators give best trading signals when they diverge from price.
- **Divergences often help to identify market tops or bottoms.**
- There are 2 different divergences:
 - i. **Bullish Divergence** - Bullish Divergence is where price chart will show price making equal low or lower low while Stochastic/RSI will show price making a higher low. In other words, bullish divergence occurs when price fall to a new low but an oscillator refuses to decline to a new low.
 - ii. **Bearish Divergence** – Bearish Divergence is where price chart will show price making equal OR higher high while Stochastic/RSI will show price making a lower high. In other words, bearish divergence occurs when price rise to a new high but oscillator refuses to rise to a new peak.

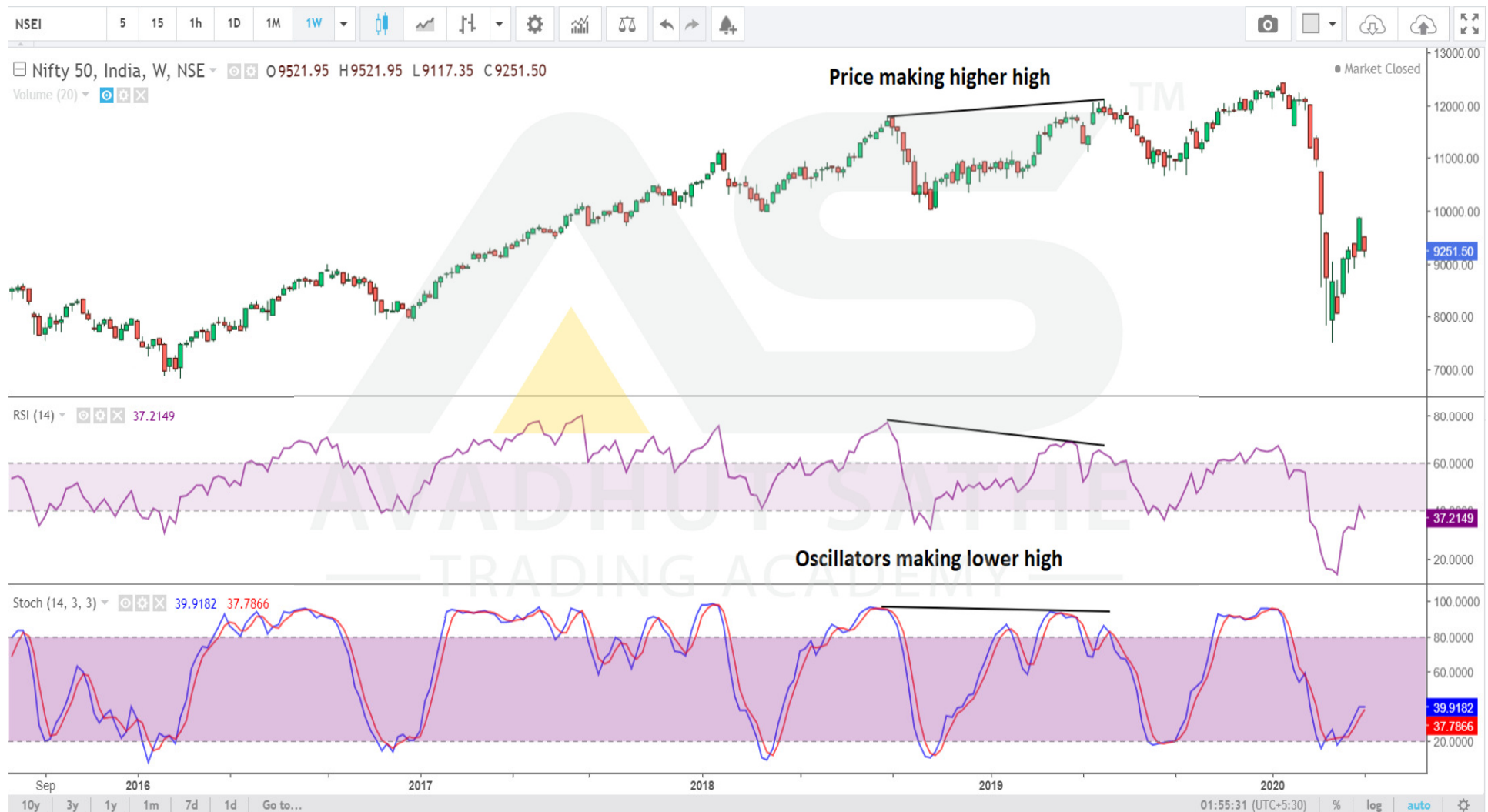
Bullish Divergence

TCS - Daily chart showing a bullish divergence



Bearish Divergence

Nifty 50 - Weekly chart showing bearish divergence





Ready for Question & Answers...!!??

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at**



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